SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會
8th Floor, Chater House, 8 Connaught Road Central, Hong Kong
香港中環干諾道中八號遮打大廈八樓

SFC
證監會

Our Ref: 250/LC/14

29 March 2004

Circular to Licensed Corporations
which are Participants of Hong Kong Futures Exchange Limited

Licence Holders Insurance Scheme for the Year Commencing 1 April 2004 under the Securities and Futures (Insurance) Rules

This circular concerns corporations which are participants of Hong Kong Futures Exchange Limited ("Futures Exchange Participants") and licensed for Type 2 regulated activity (i.e. dealing in futures contracts) under the Securities and Futures Ordinance ("SFO"). It informs you of the arrangements of the new brokers' fidelity insurance applicable to you for the scheme year commencing 1 April 2004.

The insurance requirements

Under the SFO, corporations that are licensed to carry on certain regulated activities are required, as a condition of their licences, to take out and maintain insurance in the manner prescribed by the Securities and Futures (Insurance) Rules ("the Rules").

The Rules provide that, among other things, corporations which are Futures Exchange Participants and licensed for Type 2 regulated activity must take out and maintain insurance in relation to specified risks for not less than a specified amount where the SFC has approved a master policy of insurance applicable to them.

Arrangement for the scheme

For the purposes of arranging insurance schemes under the Rules, an Industry Working Group ("IWG"), chaired by the Honourable Henry K. C. Wu, was formed. The IWG comprises representatives of various industry associations and other market participants. It operates with secretariat support from the SFC.

On submission by the IWG, the SFC will approve a master policy of insurance applicable to licensed corporations which are Futures Exchange Participants under section 5(2)(b) of the Rules for the insurance period from 1 April 2004 to 31 March 2005.

Following a tender conducted by the IWG, Aon Hong Kong Limited ("Aon") has been selected to become the insurance broker and administrator of the insurance scheme. The new master policy of insurance will be underwritten by Houston Casualty Company (70%) and Federal Insurance Company (30%).

Risk coverage and indemnity level

In essence, the master policy of insurance will indemnify each insured participant against its financial losses due to fidelity risks relating to its activities of dealing in futures contracts, subject to an insurance limit of $15 million per insurance period and a deductible amount of $3 million per claim/loss. For details of risk coverage, indemnity level, deductible amount and other terms and conditions of the policy, please refer to the wording of the master policy of insurance to be distributed to you by Aon separately.

Premium allocation

As agreed by the IWG, the gross premium of the new master policy of insurance will be allocated among the relevant licensed corporations by adopting an equitable formula. Each insured participant is required to pay a basic minimum premium[1] plus a variable premium calculated based on its annual turnover[2] during the previous calendar year as a proportion of the total turnovers of all participants.

Furthermore, an additional premium loading will be imposed on those participants which have any paid claims in the past five years. However, as this is the first time for Futures Exchange Participants to take out collective insurance against fidelity risks, the premium loading based on past paid claims will not be relevant in allocating premium among Futures Exchange Participants in the forthcoming scheme year.

For your information, the following diminishing loading factors on their premiums will apply in subsequent years:-

- 30% in the 1st year after the paid claim
- 24% in the 2nd year after the paid claim
- 18% in the 3rd year after the paid claim
- 12% in the 4th year after the paid claim
- 6% in the 5th year after the paid claim

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1 The basic minimum premium payable by each Futures Exchange Participant is $11,000 for the scheme year commencing 1 April 2004.

2 As reported by the licensed corporations under "Total number of contract in futures and options trading" in their monthly financial resources returns submitted to the SFC.

The claims loading will be computed as a percentage (as listed above) of the premium amount that the insured participant would have been required to pay had there been no claim(s) paid to it before. The gross premium after deducting the premiums shared by those participants with claims paid in the past five years (including their claims loadings) will then be allocated among those without such claims.

The claims loading will only apply to the insured participants that had claims actually paid above the deductible. Therefore, the participants will not be penalized for notifying incidents that do not materialize into claims or when the claim does not exceed the deductible.

Administration of the scheme

Aon is responsible for implementing and providing administrative support for the insurance scheme for the year commencing 1 April 2004. It will send you the debit note, evidence of insurance, claims manual and a copy of the wording of the master policy of insurance.

If you have any queries on the insurance scheme, you may call the hotline maintained by Aon at 2861-6410 (effective 1 April 2004).

Licensing Department
Securities and Futures Commission

cc Ms Selina Tse, Aon Professional Risk